

# LUIGI FALASCONI

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## OFFICE INFORMATION

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Department of Economics  
Ronald O. Perelman Center for Political Science and Economics, Room 526  
133 South 36th Street  
Philadelphia, PA 19104-6297

## DOCTORAL STUDIES

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|------------------------------------------------|----------------|
| University of Pennsylvania, Ph.D. in Economics | 2020 - ongoing |
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## REFERENCES:

### **Professor Alessandro Dovis (chair)**

Department of Economics,  
University of Pennsylvania  
+1 215-898-5421  
[adovis@sas.upenn.edu](mailto:adovis@sas.upenn.edu)

### **Professor Enrique G. Mendoza (chair)**

Department of Economics,  
University of Pennsylvania  
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### **Professor Urban J. Jermann**

Department of Finance,  
Wharton School, University of Pennsylvania  
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### **Professor William F. Diamond**

Department of Finance,  
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## PRIOR EDUCATION

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|------------------------------------------------------------------|-----------|
| Universitat Pompeu Fabra, MRes in Economics                      | 2019      |
| Barcelona School of Economics, M.Sc. in Economics and Finance    | 2018      |
| Bocconi University, B.Sc. in International Economics and Finance | 2014–2017 |

## RESEARCH INTERESTS

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Macroeconomics, Financial Economics, International Finance

**“Bailout Expectations, Default Risk and the Dynamics of Bank Credit Spreads,”**

This paper quantifies the role of bailout expectations in shaping the dynamics of banks’ credit spreads. I propose a dynamic model of financial intermediation with bank default and time-varying bailout probabilities. Banks’ credit spreads are driven by both fundamental risk and bailout expectations. These two forces have contrasting implications for the joint comovement of credit spreads and default probabilities. Tracking their evolution allows me to indirectly infer the relative importance of fundamentals and bailout expectations. Fitting the model to U.S. data, I find that 28 basis points of the 34-basis-point rise in credit spreads after 2010 are due to lower perceived bailout probabilities, with the remainder reflecting weaker fundamentals, partly offset by tighter capital requirements. Finally, I use the model to measure the effect of lower bailout expectations and tighter regulation on banks’ assets expected returns and the cost of bank credit. Abstracting from lower bailout expectations implies overstating the importance of regulatory tightening by a factor of two.

Invited to the **Minneapolis Fed Junior Scholar Conference**

PAPERS UNDER REVIEW

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**“The Foreign Liability Channel of Bank Capital Requirements,”** with P. Herrero, C.

Mendicino, and D. Supera. Revise and Resubmit, *Journal of Financial Economics*

We examine the effects of tighter capital requirements in a quantitative model of risky financial intermediaries partly funded with foreign currency debt. Setting bank capital requirements at appropriately high levels is crucial to enhance the resilience of banks against sudden losses and the risk of insolvency. As bank default risk declines, the cost of foreign funding decreases, encouraging greater reliance on foreign liabilities. This reveals a novel trade-off in bank capital regulation. On the one hand, higher capital requirements strengthen the resilience of both banks and the broader economy against shocks originating from the banking sector. On the other hand, they increase banks’ exposure to potential disruptions in foreign funding. Our findings suggest that in the presence of bank solvency risk, foreign prudential tools, such as capital flow management taxes or foreign exchange rate interventions, are complementary to bank capital requirements in mitigating financial vulnerabilities. Empirical evidence on Peru’s transition to higher capital requirements lend support to the foreign liability channel of bank capital requirements.

**“Monetary Policy and the Maturity Structure of Corporate Debt,”** with A. Fabiani and

J. Heineken. Revise and Resubmit, *Review of Finance*

We show that lower monetary policy rates lengthen the maturity structure of corporate debt. A one standard deviation policy rate cut raises the share of long-term debt — i.e., with maturity above one year — by 87 basis points, explaining 20% of its variation. In the cross-section, large and bond-issuing firms drive the adjustment. We propose a theory rationalizing these findings. Lower policy rates increase long-term bond demand due to reach-for-yield. Financial frictions allow large firms only to benefit by refinancing at lower yield. Empirical evidence on corporate bond issuance and holdings by insurers and mutual funds supports this mechanism.

WORKING PAPERS

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**“Collateralized Loan Obligations as Fire-Sale Insulation,”** with W. Diamond and C. Xu

We develop a model where CLOs are the optimal financial structure for securitizing assets that trade in illiquid markets. CLOs hold portfolios of risky loans, sell their lowest quality loans in a crisis, and finance themselves with safe, long-maturity debt. CLOs can become temporarily insolvent without triggering a crisis due to their long-term financing. Banks that invest in CLOs' safe debt are insulated from loan fire sales that would trigger a run if banks held loans directly. Introducing CLOs to a bank-only financial system improves welfare and financial stability, but macroprudential regulation should also constrain the leverage chosen by CLOs.

**“Equilibrium Entry in Over-the-Counter and Centralized Markets,”** with A. Maselli and C. Xu

This paper studies the determinants of entry in centralized versus decentralized over-the-counter (OTC) secondary markets. We develop a model of asymmetric information in the lending market in which borrowers have access to two costly signals. Creditworthy borrowers signal their type by liquidating non-pledgeable assets in a centralized market or exchanging them for collateralizable assets in an OTC market. Equilibrium prices and haircuts determine signaling costs endogenously. In the optimal separating contract, the cheapest market in terms of signaling costs is accessed. We establish conditions for existence of equilibria in which different markets are accessed — CM-only, OTC-only, and dual-market — and rank them by the utility they provide to borrowers. We show that OTC-only equilibria offer the highest utility, followed by dual-market and CM-only equilibria.

#### WORK IN PROGRESS

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“Entwined Risks: Sovereign Default, Bank Failures and Economic Activity,” with A. Hannon, C. Mendicino, and E. Mendoza (Presented at AEA 2025 Annual Meeting and BSE Summer Forum 2025)

“Bank Capital Regulation in a Monetary Union,” with C. Mendicino, K. Nikolov, and D. Supera

“The Solvency-Run Risk Paradox,” with P. Herrero, C. Mendicino, and D. Supera

#### AWARDS AND SCHOLARSHIPS

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AFA PhD Student Travel Grant, 2026

Penn Institute for Economics Research (PIER) RA Stipend Matching Grant, 2025

EFA PhD Student Travel Grant, 2025

Macro Finance Society PhD Student Travel Grant, 2025

Jacobs Levy Center Research Grant (joint with W. Diamond and C. Xu), 2024

Doctoral Fellowship, UPenn Graduate Division of Arts and Sciences, 2021 - 2025

#### CONFERENCES AND SEMINARS

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2026: AFA Annual Meeting, AFA Annual Meeting (Poster)

2025: AEA Annual Meeting (Poster), UPenn, 25th Macro Finance Workshop (Poster), Boston College 1st PhD Conference in Economics, JCF Information Contracts and Firms Conference, USC Marshall 11th PhD Conference in Finance, Federal Reserve Board, Minneapolis Fed Junior Scholar Conference

2024: UPenn, CEA, MFR Program Summer Session for Young Scholars (Poster), Federal Reserve

Bank of Philadelphia, Summer Workshop on Money, Banking, Payments and Finance (Poster),  
FDIC Bank Research Conference (Poster), 19th EGSC, Università di Napoli Federico II  
2023: Midwest Macro Meetings, CEA, Econometric Society NASM, Asian Meeting of the  
Econometric Society, EcoMod, EEA–ESEM Summer Meeting, 5th Biennial Conference on  
Financial Stability  
2022: World Finance & Banking Symposium

## DISCUSSIONS

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2023: The Dollar, Fiscal Cyclicalities and the US Safety Puzzle, S.Y. Kim (Asian Meeting of the  
Econometric Society); The Zombie Lending Channel of Monetary Policy, B. Albuquerque & C.  
Mao (5th Biennial Conference on Financial Stability)

## RESEARCH EXPERIENCE AND OTHER EMPLOYMENT

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RA for Prof E. Mendoza (UPenn), September 2025 - May 2026  
Graduate Dissertation Fellow, Federal Reserve Board, May - July 2025  
RA for Prof. W. Diamond (Wharton), September 2024 - May 2025  
Consultant at ECB, DGR - Financial Research Division, June 2022 - June 2023  
RA for Professors G. Ordóñez and H. Cole (UPenn), January 2023 - May 2023  
RA for Prof. A. Dovis (UPenn), September 2022 - December 2022  
Student RA at ECB, DGR - Monetary Policy Research Division, August 2019 - July 2020  
RA for Prof. Luca Fornaro (CREI-UPF), December 2018 - March 2019  
Intern at OECD, Data and Statistics Directorate, Summer 2018  
Intern at Italian Treasury, Economic and Financial Analysis Directorate, Summer 2017  
Research Project at IGIER-Bocconi University (with Prof. Carlo Favero), Summer 2016

## TEACHING EXPERIENCE

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Introduction to Macroeconomics (UG), UPenn, TA for Prof. L. Bossi, Spring 2024  
Macro Modelling (UG), UPenn, TA for Prof. A. Dovis, Fall 2023  
Macroeconomic Theory II (PhD), UPenn, TA for Professors J. Greenwood & J.V. Ríos Rull, Spring  
2022  
Intermediate Macroeconomics (UG), UPenn, TA for Prof. D. Krueger, Fall 2021  
Sovereign Debt and International Financial Markets (Master), BSE, TA for Prof. F. Broner, Spring  
2019

## SOFTWARE SKILLS

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EViews, L<sup>A</sup>T<sub>E</sub>X, Mathematica, MATLAB, Julia, Python, R, Stata